ARU/BS&T Interface and Dependency Record

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State: LOCKED boundary and sequence; OPEN implementation

Owner: Pale Sun / Red Wash

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Cross-reference: `../../docs/structured/aru_bst_red_wash_bridge.json`; `../source/aru_bst_bridge.json`; `../source/external_source_register.csv`

Purpose

This record explains why Red Wash caused Sable Harbor to investigate American Resource Utility (ARU) and its Blood, Sweat & Tears Railway (BS&T) operating component. It defines only the Red Wash interface and dependency problem. ARU's acquisition terms, network, customers, fleet, workforce, financial condition, and complete operating thesis remain outside this record.

The record is retrospective. It separates information available before Red Wash closed on July 18, 2025 from later evidence and from synthetic Red Wash events. No later publication is presented as information available to the acquisition team at closing.

2025 external-carrier model

Red Wash had no commercial relationship with ARU or BS&T before Sable Harbor began its logistics search. Qualified external carriers handled all Red Wash movements throughout 2025, including pre-close activity, closing transition, stabilization work, and uranium-product deliveries.

ARU was not a Northstar vendor, a historical Red Wash carrier, a source of prior revenue, or a preselected acquisition solution. Nothing in the later search changes the authority or accounting for a 2025 shipment.

Contemporaneous freight environment

Information published by July 18, 2025 described a soft and uneven U.S. freight market rather than a universal shortage of trucks or rail capacity. The relevant pressure was the gap between broad aggregate availability and the smaller population of capacity usable for a particular lane, equipment type, security requirement, customer commitment, and schedule.

The acquisition team could have known that:

- the American Transportation Research Institute reported average 2024 motor-carrier cost of $2.260 per mile, nonfuel cost of $1.779 per mile, rising equipment payments, and negative average truckload operating margin in its July 1, 2025 report;
- commercial-auto and umbrella premiums continued to rise in the Council of Insurance Agents & Brokers' May 15, 2025 survey;
- the Federal Reserve retained a 4.25%–4.50% federal-funds target on June 18 and described economic uncertainty as elevated;
- EIA recorded Rocky Mountain on-highway diesel at $3.713 per gallon for the week of July 14;
- BLS reported year-over-year increases for heavy-truck and trailer producer-price indexes on July 16;
- the Federal Reserve's July 16 Beige Book described weak or sluggish trucking demand in several districts alongside tariff and insurance pressure; and
- carrier and market-provider releases described uneven modal volumes, rate pressure, and active capacity management.

Those sources support a market-pressure mechanism. They do not prove insolvency, a forced sale, insurance denial, or route-specific scarcity for any named carrier. The detailed source register records publication dates, covered periods, geography, method, transformation, and limitations.

Later 2025 sources concerning credit conditions, trucking tuck-in acquisitions, proposed rail consolidation, and aggregate rail traffic are retained only as retrospective corroboration. They do not appear as knowledge available on July 18.

Synthetic market-concentration event

Against that real backdrop, a fictional combination among qualified regional transport providers during 2025 reduced the number of providers willing and able to serve the low-frequency Red Wash uranium lane. The surviving carrier allocated less scheduling capacity to the lane during the fourth quarter.

This was a transportation-market and counterparty-concentration event. It was not caused by a mine failure, fraudulent shipment, accident, regulatory shutdown, or Red Wash operating incompetence.

The company-specific combination, notice, allocation, and schedule exception are synthetic company records.

Capacity notice and delivery effect

The reduced allocation displaced a planned delivery window and created a credible risk of missing the contractual period. Red Wash, the qualified carrier, and the customer-facing contract team found another qualified slot within the 2025 annual delivery period.

The event therefore had:

• no lost 2025 annual sales;

• no change to locked 2025 annual revenue;

• no retroactive ARU revenue or cost;

• no transfer of uranium custody to an unqualified party; and

• a material strategic lesson about dependency despite an immaterial annual financial result.

The preserved schedule exception is not labeled a financial loss merely because the operating risk was consequential.

Search progression

Red Wash first sought a replacement or additional qualified carrier. The market scan showed that the relevant carrier population was itself concentrated and that qualification, insurance, security, route fit, and commitment economics restricted practical choices.

The team then broadened the question from “which carrier can cover this window?” to “what durable transportation interfaces could reduce dependency?” Physical and interchange mapping surfaced a nearby rail line and the operating question: **Whose line is this?** The answer led to ARU and BS&T.

ARU was found through operating analysis. It was not presented by an investment banker as a turnkey Red Wash acquisition.

Red Wash was the central catalyst for the search, but it was not by itself the complete ARU thesis. The later full case must determine whether ARU can stand as an independent logistics business and serve customers and resource flows beyond Red Wash.

Initial fit gaps

ARU/BS&T was not an immediately usable uranium-transport solution. Three deficiencies control the interface screen:

1. the line was close enough to investigate, but there was no direct mine connection;

2. there was no suitable secure Red Wash transload/interface terminal; and

3. ARU/BS&T had not demonstrated the uranium-specific authority, custody, security, training, insurance, equipment, emergency-response, route, interchange, and operating capability needed for direct service.

“Near” is a screening conclusion, not a locked route-mile fact. The exact line, distance, interchanges, terminal site, asset condition, and service design remain open.

Preliminary interface screen

The Red Wash interface uses a **$15.0 million preliminary planning envelope**. It is a scenario input for screening only. It is not:

• the ARU purchase price;

• approved or booked Red Wash capital;

• a commitment to construct a direct branch line;

• a final engineering estimate; or

• proof that the interface can be completed for exactly $15.0 million.

Potential scope includes a secure truck/rail interface, terminal or site work, custody and chain-of-record systems, compliance, training, security, insurance, dispatch integration, equipment modifications, engineering, permitting, contingency, and commissioning. Component amounts remain open until later diligence supplies a defensible basis.

Gate sequence

The planning sequence is relative to a future or separately controlled ARU acquisition date, which this record does not establish:

Period after acquisition	Work and gate
0–90 days	Physical mapping; route/interchange and condition assessment; legal, regulatory, and insurance review; service design; commercial and custody architecture
Approximately months 3–6	Engineering; approvals; contracting; procurement; training; and early implementation
Approximately month 6 onward	Limited service only if every applicable operating and custody gate has passed
Approximately months 12–18	Mature-integration review; a mixed external-carrier, truck, transload, and rail model remains permissible

The schedule is a planning envelope, not an instant-integration promise.

Custody and authority

Qualified external carriers remain authoritative unless and until a later controlled decision is supported by proof of:

• regulatory authority and carrier/shipper roles;

• packaging interfaces and equipment suitability;

• employee radiation and hazardous-material qualification;

• emergency-response capability;

• insurance and security;

• chain-of-custody design and tested records;

• approved route and interchange arrangements; and

• contract and customer acceptance.

ARU or BS&T may support mapping, scheduling analysis, or interface design without taking physical custody. An ARU/Pale Sun timestamp mismatch can concern coordination records while the external carrier retains transport authority. It must not be rewritten into proof that ARU carried uranium.

Financial treatment

The 2025 capacity event changes no Red Wash annual sales or revenue. The $15 million screen is not booked capex, a liability, or a commitment. This record creates no ARU purchase accounting, intercompany revenue, freight transfer, final service rate, or committed Red Wash volume.

Any later accounting begins only after an authorized event, identified legal entity, approved capital, and traceable source record exist.

Open items reserved for the full ARU case

The following remain `OPEN`: acquisition date, seller, price, financing, enterprise value, debt, jurisdiction, tax elections, route miles, railroad class, route map, interchanges, customers, commodity mix, terminal locations, fleet, track and bridge condition, workforce, labor agreements, accident history, maintenance backlog, financial statements, management team, service rates, intercompany pricing, committed Red Wash volume, and final uranium-custody role.

Evidence register

The controlled machine source is `red_wash/source/aru_bst_bridge.json`. Its generated tables record the capacity events, shipment exception, carrier scan, rail candidate, fit gaps, gate sequence, preliminary capex screen, and custody-authority matrix. External sources and limitations are in `red_wash/source/external_source_register.csv`.

The real sources constrain the synthetic event. They do not convert it into an actual external carrier transaction or complete the ARU case.